MAHATMA GANDHI UNIVERSITY,KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION-MARCH 2025
SECOND SEMESTER
MG2DSCHBM100- ADVANCED HOTEL ACCOUNTING -I

PART A

1. Purchase return book: A subsidiary book which records the return of goods previously purchased on credit.
2. Sales return book: : A subsidiary book which records the goods returned by customers that were sold on credit.
3. A subsidiary book which records only credit purchase of goods. Cash purchase and purchase of asset on credit basis are not recorded in this book.
4. Double-column cash book: A cash book which has two amount columns on both sides.
5. Imprest system: Money advanced on loan.
6. Error of principle: When a transaction is recorded in violation of fundamental accounting principles or concepts.
7. A) To check the arithmetical accuracy of ledger accounts and b) To locate th e error.
8. A) Statement of ledger balances b) Checks arithmetical accuracy c) Helps in preparing final accounts.
9. Examples of revenue expenditure: Salary, Rent, Office & administration expense, Selling & distribution expense.
10. Depreciation: Decrease in the value of a fixed asset.
11. Endorsement of cheque: The act of signing the back of the cheque by the payee.
12. Types of expenditure: Capital expenditure, Revenue expenditure & Deferred revenue expenditure.
13. Period of benefit and Purpose
14. Causes of depreciation: Wear & tear, obsolescence ,Accident, etc
15. Objectives of depreciation: To ascertain the accurate profit, To ascertain the accurate financial position and replacement of an asset.

PART B

16. Advantages of cash book:
    A) To know cash and bank balance
    B) Mistakes and frauds can be prevented
    C) Effective cash management
17. Trial balance is a statement which shows all account balances.
    Advantages:
    a) To check the arithmetical accuracy of ledger accounts
    b) To locate the error
    c) To facilitate the preparation of final accounts
    d) It supplies one place ready reference of all account balances.
18. Causes of disagreement:
    a) Transactions that appear in the cash book but not in the pass book
    b) Transactions that appear in the pass book but not in the cash book.

19. Sales book

Date	Particulars	Outward invoice no.	LF	Amt.

2020 June 5	Aravind & Co. 20 tables @600 20 chairs @300			 12,000 6,000
10	Baskar & co. 10 alimirahs @ 3000 10 tables @200			 30,000 2,000
20	Gopinath: 10 tables @ 1000 2 revolving chairs @ 1,200			 10,000 2,400
	Total			62,400

20. Importance of BRS:

a) The errors that might have taken place in the cash book in connection with bank transaction can be easily found.
b) Regular preparation of BRS prevents fraud.
c) It directly imposes moral check on the accounting staff.
d) By the preparation of this statement, uncredited cheques can be detected and steps can be taken for their collection.

21. Bank Reconciliation Statement

Particulars	Amt.
Balance as per cash book	12,500
Add: Cheque issued but not presented for payment	150
Interest allowed by bank	20
Less: Cheque deposited but not cleared	100
Balance as per Pass book	1,570

PART C

22. Types of subsidiary book with format

1) Purchase book: A subsidiary book which records only credit purchase of goods. Cash purchase and purchase of asset on credit basis are not recorded in this book.

2) Purchase return book: A subsidiary book which records the return of goods previously purchased on credit.

3) Sales return book: A subsidiary book which records the goods returned by customers that were sold on credit.

4) Sales book: A subsidiary book which records only credit sale of goods. Cash sale and sale of asset on credit basis are not recorded in this book.

5) Cash book: A subsidiary book which records only cash transactions. Cash receipts are recorded on the debit side and cash payments are recorded on the credit side.

6) Petty cash book: A book which records small expenses incurred in the business concern.

FORMAT

PURCHASE BOOK

Date	Particulars	Inward invoice	LF	Amount

		no.		

SALES BOOK

Date	**Particulars**	**Outward invoice no.**	**LF**	**Amount**

PURCHASE RETURN BOOK

Date	**Particulars**	**Debit note no.**	**LF**	**Amount**

SALES RETURN BOOK

Date	**Particulars**	**Credit note no.**	**LF**	**Amount**

CASH BOOK

Dr Cr

Date	Particulars	LF	Amount	Date	Particulars	LF	Amount

23. TRIPLE COLUMN CASH BOOK

Date	Prs.	Dis. allowed	Cash	Bank	Date	Prs.	Dis. received	Cash	Bank
2020 April1	To balance b/d		4,000		2020 April1	By balance b/d			10,500
					10	By furn.			800
4	To Manoj	100	2,000		12	By rent			1,500
7	To Sales		2,000		15	By Karthik		1,250	1,250
18	To Sales		15,000		20	By pack.		500	
25	To cash			5,000	24	By Murugan			
30	To balance c/d			**9,050**		By cash	50	4,000	
					26			5,000	
					30				
						By balance c/d		**12,250**	
		100	23,000	14,050			50	23,000	14,050

24. TRIAL BALANCE

S.NO	NAME OF A/C	LF	DEBIT	CREDIT
1	Capital			3,40,000
2	Creditors			13,000
3	Drawings		4,000	
4	Salaries		38,200	
5	B/R		5,800	
6	B/P			7,000
7	Debtors		16,000	
8	Sales			1,44,000
9	Insurance		2,200	

10	Land		2,50,000	
11	Commission received			800
12	Purchases		94,000	
13	Sales returns		3,400	
14	Purchase returns			2,400
15	Carriage inward		1,400	
16	Printing		5,000	
17	Stock		29,900	
18	Machinery		50,000	
19	Wages		5,000	
20	Rent		1,600	
21	Interest received			1,700
22	Electricity		2,400	
	TOTAL		**5,08,900**	**5,08,900**